NETI PRELIMS REVISION SERIES

Topic 07 | Government Securities & Budget Concepts

नेति नेति — Less noise. More clarity.

Why this matters for Prelims: The PYQ report for 2011–2025 notes that Economy is the hardest, fastest-rising section in Prelims — Economy questions in 2022 hit 20 (highest ever), and stayed above 17 every year since. When you trace those questions back to their roots, a disproportionate number connect to two conceptual pillars: (1) what the government borrows and how, and (2) how its budget is classified. Revenue vs Capital, Fiscal vs Primary Deficit, T-Bills vs Dated Securities, FRBM targets — these have generated direct and Statement I/II questions in 2021, 2022, 2023, 2024, and 2025 without a break.

Revenue vs Capital — the one test: Does it create an asset or extinguish a liability? Yes → Capital. No → Revenue. Buying a machine = Capital (creates asset). Paying salaries = Revenue. Repaying a loan principal = Capital (extinguishes liability). Paying loan interest = Revenue (no asset created).

Fiscal Deficit in one line: Total expenditure minus total receipts excluding borrowings. It equals the government's total borrowing requirement for the year. Fiscal Deficit = Revenue Deficit + Capital Expenditure – Capital Receipts (excluding borrowings).

G-Sec types: T-Bills = short-term (91/182/364 days), zero coupon, issued at discount. Dated Securities = long-term (2–40 years), carry coupon (interest). Both are SLR-eligible. T-Bills → no periodic interest, profit = face value minus purchase price.

BUDGET RECEIPTS — THE COMPLETE CLASSIFICATION

Every rupee the government receives falls into one of two buckets. Revenue Receipts do not create a liability or reduce an asset. Capital Receipts do the opposite — they either create a liability (borrowings) or reduce an asset (disinvestment).

Category	Sub-type	Examples	UPSC-Relevant Distinction
REVENUE RECEIPTS	Tax Revenue	Income Tax, GST, Corporate Tax, Customs Duty, Excise Duty	Collected by right of sovereignty. No obligation to return. Largest component of govt receipts.
	Non-Tax Revenue	Dividends from PSUs, RBI surplus transfer, fees, fines, interest received on loans given to states	Interest received on loans to states = Revenue Receipt (not capital). RBI surplus transfer = Non-Tax Revenue. Both tested.
CAPITAL RECEIPTS	Market Borrowings	Dated G-Secs, T-Bills issued to public/banks	Creates liability (to be repaid). Largest component of Capital Receipts. Also called "internal debt".
	Disinvestment	Sale of government stake in PSUs (e.g., LIC IPO, Air India sale)	Reduces a government asset. Capital Receipt. Does NOT create liability. Tested repeatedly.

	Recovery of Loans	Repayment of loans given by Centre to states	Reduces a financial asset (loan receivable). Capital Receipt. The original loan given was Capital Expenditure.
	Small Savings, PF collections	PPF inflows, NSC, Post Office Savings	Capital Receipt because government has a repayment liability. Often confused with Revenue Receipts.
	External Borrowings	IMF loans, World Bank, bilateral loans	Creates external liability. Capital Receipt. Grants from abroad = Revenue Receipt (no liability).

NOTE: Grants – whether from Centre to states or from abroad to Centre – are always Revenue Receipts (no repayment obligation). This is the single most-tested Revenue vs Capital trap. Disinvestment is Capital; dividend from PSUs is Revenue.

BUDGET EXPENDITURE — REVENUE VS CAPITAL

Type	Definition	Examples	Key Test
Revenue Expenditure	Does NOT create an asset or reduce a liability. Recurring in nature. Consumed within the year.	Salaries, pensions, interest payments on borrowings, subsidies (food/fertiliser/fuel), grants to states for revenue purposes, defence operations	Interest payment on debt = Revenue Expenditure. Even though it relates to a loan (capital item), the interest itself is a running cost with no asset creation.
Capital Expenditure	Creates a physical or financial asset OR reduces a liability. Durable benefit beyond the year.	Road/bridge/dam construction, purchase of machinery, loans given to states/UTs, repayment of loan principal, defence equipment purchase	Repayment of loan principal = Capital Expenditure (extinguishes liability). Defence equipment = Capital. Defence salaries = Revenue. UPSC splits defence spending this way.
Transfer Payments	One-way payments with no goods/services in return. Mostly Revenue Expenditure.	Subsidies, pensions, MGNREGS wages, PM-KISAN transfers	MGNREGS wages = Revenue Expenditure (labour, no asset). PMGSY road construction = Capital. Distinction matters for "productive expenditure" questions.
Grants vs Loans (to states)	Grants from Centre to states = Revenue Expenditure for Centre. Loans from Centre to states = Capital Expenditure for Centre.	14th/15th Finance Commission devolution, Centrally Sponsored Scheme grants	Tax devolution to states is NOT expenditure of Centre — it is transferred before Centre's budget. Grants paid out = Revenue Expenditure. Loans

			advanced = Capital Expenditure.

NOTE: Subsidies are always Revenue Expenditure — food, fertiliser, fuel subsidy — all. Capital Subsidy (one-time asset creation support) is an exception, classified as Capital Expenditure. UPSC has tested this distinction.

DEFICIT CONCEPTS — FISCAL, REVENUE, PRIMARY, EFFECTIVE REVENUE

Deficit	Formula / Definition	What It Measures — Why UPSC Tests It
Revenue Deficit	Revenue Expenditure − Revenue Receipts	Government is spending more on day-to-day operations than it earns from regular income. Implies borrowing for consumption (not investment) — fiscally unsound. A positive Revenue Deficit means government is dis-saving. UPSC tests: "Revenue Deficit implies government borrowing for consumption" — TRUE.
Fiscal Deficit	Total Expenditure − Total Receipts (excluding borrowings) OR: Revenue Deficit + Capital Expenditure − Non-debt Capital Receipts	The government's total borrowing requirement for the year. Includes borrowing for both consumption (Revenue Deficit) and investment (Capital Expenditure). Fiscal Deficit ≥ Revenue Deficit always. Fiscal Deficit = Primary Deficit + Interest Payments.
Primary Deficit	Fiscal Deficit − Interest Payments on past debt	Measures current year's borrowing need, stripping out burden of past debt. If Primary Deficit = 0, all borrowing is only to pay interest on old loans — current operations are balanced. If Primary Deficit < 0 (surplus), current operations are generating surplus to repay old debt.
Effective Revenue Deficit	Revenue Deficit − Grants for Capital Asset Creation	Introduced in Union Budget 2011–12. Recognises that some grants (e.g., PMGSY, JNNURM) result in physical assets even though they are classified as Revenue Expenditure. Strips these out to show the "true" non-productive borrowing. FRBM targets effective revenue deficit elimination.
Current Account Deficit (CAD)	Imports of goods & services + net income outflows − Exports of goods & services + net income inflows	NOT a budget concept — but UPSC pairs it with Fiscal Deficit. Twin Deficit: high Fiscal Deficit → high government borrowing → crowds out private investment → lower growth → higher import dependence → CAD. Distinction: Fiscal Deficit is domestic; CAD is external.

NOTE: Fiscal Deficit is always ≥ Primary Deficit (since interest payments are always positive). Revenue Deficit can be zero even when Fiscal Deficit exists — this means government is borrowing only for capital investment. This is considered fiscally healthy.

GOVERNMENT SECURITIES — TYPES, FEATURES & EXAM DISTINCTIONS

Instrument	Tenure	Interest Structure	Key Facts — UPSC Level
Treasury Bills (T-Bills)	91, 182, 364 days	Zero coupon — no periodic interest	Issued at discount, redeemed at face value. Profit = face value minus issue price. Issued by RBI on behalf of Central Government only (not states). Short-term government borrowing. SLR-eligible.
Cash Management Bills (CMBs)	< 91 days (7 to 60 days typically)	Zero coupon	Introduced 2010. Issued to meet temporary cash mismatches in government accounts. Not regular; issued on need basis. SLR-eligible. Appeared in 2023 PYQ as a new option to test awareness.
Dated G-Secs	2 to 40 years	Fixed or floating coupon paid semi-annually	Largest component of Central Government internal debt. SLR-eligible. Traded on NDS-OM (secondary market). Benchmark: 10-year G-Sec yield. Government announces its borrowing calendar at the start of the fiscal year.
State Development Loans (SDLs)	10 to 14 years (typically)	Fixed coupon, semi-annual	Issued by State Governments (not Centre). RBI manages auction. Yield slightly higher than Central G-Secs. SLR-eligible. UPSC trap: "SDLs are issued by RBI" — FALSE.
Inflation-Indexed Bonds (IIBs)	Long-term	Principal + coupon indexed to CPI/WPI	Protects investors from inflation erosion. Both principal and interest are adjusted. Sovereign Gold Bonds (SGBs) are a variant — linked to gold price, issued by RBI on behalf of government.
Sovereign Gold Bonds (SGBs)	8 years (exit at 5)	2.5% fixed p.a. + capital gain on gold price	Issued by RBI on behalf of Govt. Denominated in grams of gold. Capital gains on redemption = tax exempt if held to maturity. Counts as part of government borrowing. SGB scheme discontinued from FY2024–25 — exam-relevant current affairs.
Floating Rate Bonds (FRBs)	Variable	Variable, linked to T-Bill yield or NSS rate	Coupon reset periodically. Protects government from locking in high rates for long tenure. Issued when market rates are volatile.

NOTE: "Zero coupon" does not mean zero return — it means no periodic interest payments. The return comes from the discount at issue. T-Bills and CMBs are zero coupon; Dated G-Secs and SDLs are coupon-bearing.

FISCAL RESPONSIBILITY & BUDGET MANAGEMENT (FRBM) ACT, 2003

Aspect	Detail — Exam Ready
What it mandates	Fiscal Deficit ≤ 3% of GDP. Revenue Deficit → progressively eliminate. Effective Revenue Deficit → eliminate. Total liabilities of Centre ≤ 60% of GDP (medium-term). RBI prohibited from subscribing to primary market G-Sec issuances (after 2006) — no direct monetisation.
Escape Clause (Amendment 2018)	Based on N.K. Singh Committee recommendations. Allows 0.5% deviation from the 3% Fiscal Deficit target in specific conditions: national security, war, calamity, collapse of agriculture, structural reforms with fiscal implications. During COVID-19 (2020–21), Fiscal Deficit reached 9.2% of GDP — justified under escape clause.
N.K. Singh Committee (2016–17)	Recommended replacing Fiscal Deficit target with Debt-to-GDP anchor (60% for Centre + states combined; 40% for Centre alone). Proposed Medium-term Fiscal Plan. Recommended an independent Fiscal Council to monitor compliance. Fiscal Council not yet established — itself a testable fact.
RBI & FRBM	FRBM prohibits RBI from buying G-Secs directly from the government in the primary market (direct monetisation). RBI can only buy in secondary market (OMO). Exception was made during COVID: RBI participated in primary auctions under "Government Securities Acquisition Programme" (GSAP) — de facto monetisation. UPSC tested this in 2022.
Current Status (2024–25)	Union Budget 2025–26 targets Fiscal Deficit at 4.4% of GDP (not yet at 3%). Glide path to 3% revised to FY2026–27. Revenue Deficit has come down but not eliminated. These are current affairs facts for 2026 Prelims.

INTERNAL DEBT COMPOSITION — WHAT MAKES UP GOVERNMENT BORROWING

Component	Approximate Share	UPSC-Relevant Fact
Dated Securities (G-Secs)	~85–88% of internal debt	Dominant form of Central Government borrowing. Long-term, coupon-bearing. Traded on NDS-OM. 2021 PYQ directly tested this share.
Treasury Bills (T-Bills)	~8–10%	Short-term borrowing. Used to bridge revenue-expenditure timing gaps within the year. Not for long-term financing.
Securities against Small Savings	~3–5%	Government issues these to NSSF (National Small Savings Fund) against inflows into PPF, NSC etc. Internal debt, but backed by retail savings.
External Debt (Ext. borrowing)	~20% of total debt (external)	World Bank, ADB, bilateral. Denominated in foreign currency. Subject to exchange rate risk.

		Counted separately from internal debt in the Union Budget.

NOTE: "Internal debt" = borrowed within India (G-Secs, T-Bills, small savings). "External debt" = borrowed from abroad. Internal debt dominates India's total government liabilities. UPSC has asked the composition in matching pairs.

STATEMENT I / II PRACTICE PAIRS — BUDGET & G-SEC CONCEPTS

Work through each pair independently. Check: Is I true? Is II true? Does II explain I — causally, not just correlatively?

Statement I	Statement II	Answer & Why
Repayment of the principal amount of a loan is a Capital Expenditure of the government.	Repaying principal reduces the government's outstanding liability, which is a characteristic of capital transactions.	Both TRUE. II correctly explains I. Answer: (a). Repayment extinguishes liability — the defining test for capital items.
Interest payments on government borrowings are classified as Revenue Expenditure.	Interest payments create a new financial asset for the government.	I is TRUE. II is FALSE — interest payments create no asset. They are a cost of using borrowed money. Answer: (c) I correct, II incorrect.
A zero Revenue Deficit does not mean a zero Fiscal Deficit.	Even when Revenue Deficit is zero, the government may be borrowing to fund Capital Expenditure.	Both TRUE. II correctly explains I. Answer: (a). This is the healthy form of a Fiscal Deficit — borrowing only for investment, not consumption.
Treasury Bills carry a coupon rate and pay periodic interest to their holders.	Treasury Bills are issued at a discount to their face value and redeemed at par.	I is FALSE — T-Bills are zero coupon. II is TRUE. Answer: (d). The classic T-Bill trap. Profit comes from the discount, not from periodic payments.
Disinvestment proceeds are classified as Capital Receipts of the government.	Disinvestment involves the sale of a government-owned asset, thereby reducing the government's asset holdings.	Both TRUE. II correctly explains I. Answer: (a). Selling an asset = reduces asset = Capital Receipt. This is the receipts-side mirror of Capital Expenditure.
Primary Deficit can be zero even when Fiscal Deficit is positive.	This occurs when all government borrowing is used exclusively to pay interest on past debt.	Both TRUE. II correctly explains I. Answer: (a). Primary Deficit = Fiscal Deficit − Interest Payments. If both are equal, Primary Deficit = 0.
Grants given by the Central Government to state governments are classified as Revenue Expenditure for the Centre.	Grants do not create any financial asset or reduce any liability for the Central Government.	Both TRUE. II correctly explains I. Answer: (a). Grants = one-way transfer, no repayment. Revenue Expenditure for giver, Revenue Receipt for receiver. Classic UPSC trap resolved here.

The FRBM Act prohibits the RBI from purchasing government securities in the primary market.	This prohibition prevents direct monetisation of the fiscal deficit by the central bank.	Both TRUE. II correctly explains I. Answer: (a). Direct monetisation = RBI prints money to fund government. FRBM prevents this. GSAP during COVID was a temporary exception that itself proved the rule.

NOTE: In Revenue vs Capital questions, always apply the two-step test first: (1) Does it create/destroy an asset? (2) Does it create/extinguish a liability? One "yes" = Capital. Both "no" = Revenue.

QUICK REFERENCE — TERMS UPSC USES WITHOUT DEFINING

Term	Precise Definition — Exam Ready
Monetisation of Deficit	Government finances its deficit by borrowing directly from RBI (RBI prints money). Inflationary. Prohibited under FRBM after 2006. RBI may buy G-Secs in secondary market (OMO) — that is not monetisation.
Crowding Out	High government borrowing raises interest rates → private sector borrowing becomes costlier → private investment falls. Fiscal Deficit → crowding out of private investment. Counter-argument: in a slack economy, crowding out may not occur.
Off-Budget Borrowing	Government borrows through entities like FCI, NSSF, or public sector companies without showing it in the Budget. Actual fiscal deficit is understated. CAG and economists have flagged this. UPSC 2023 had a question touching off-budget liabilities.
Consolidated Fund of India	All revenues received, loans raised, and all expenditure go here. Requires Parliamentary approval for withdrawal. The "main" government account. Article 266.
Contingency Fund of India	₹500 crore corpus. Used for urgent, unforeseen expenditure pending Parliamentary approval. In custody of President (executive). Article 267. Must be replenished after use.
Public Account of India	Moneys received by government where it acts as banker (not owner): Provident Fund, Small Savings, deposits. No Parliamentary approval needed for withdrawal — government has a liability to return these.
Fiscal Consolidation	Deliberate policy to reduce fiscal deficit over time by raising revenue and/or cutting expenditure. Often contrasted with fiscal stimulus. UPSC tests it in context of FRBM targets.
Debt Monetisation vs Debt Financing	Debt Financing = borrowing from the market (G-Sec auction, NDS-OM). Debt Monetisation = RBI directly buying from govt (prohibited). COVID GSAP blurred this line temporarily.
Benchmark Yield	10-year G-Sec yield is the benchmark for all long-term interest rates in India. When it rises, borrowing costs rise economy-wide. OMO purchases lower this yield. A falling benchmark yield = easier monetary conditions.
Yield Curve	Graph of yields across different maturities. Normal: long yields > short yields. Inverted: short yields > long yields (signals recession fear). Flat: Operation Twist flattens it by buying long and selling short.

RECENT IN NEWS (2024–2025) — PRELIMS 2026 ANGLE

Development	Why Relevant for 2026 Prelims
Union Budget 2025–26 — Fiscal Deficit 4.4%	Government targeted 4.4% of GDP in FY26 (down from 5.1% in FY25). Capital Expenditure allocation: ₹11.11 lakh crore. Revenue deficit narrowing. These are live targets that UPSC can test: "India's fiscal deficit target for FY26 under FRBM is 3%" — FALSE.
SGB Scheme Discontinued	RBI announced discontinuation of fresh Sovereign Gold Bond issuances from FY2024–25 onward. Existing SGBs continue to maturity. Tests: what SGBs are, how they counted as government borrowing, and the policy reversal.
Fully Accessible Route (FAR) & GBI-EM inclusion	Indian G-Secs added to JP Morgan GBI-EM Index (June 2024) and Bloomberg EM Index (Jan 2025). Foreign investors can now buy eligible G-Secs without limit under FAR. Increased foreign demand → lower yields → cheaper government borrowing. BoP and external debt implications.
RBI Surplus Transfer ₹2.11 lakh crore (FY24)	Record surplus transferred to government. Tests: what constitutes RBI surplus (excess of income over expenditure + release from contingency buffer). Bimal Jalan Committee set the Economic Capital Framework. Surplus = Non-Tax Revenue Receipt for government.
Capital Expenditure push — Infrastructure	Government's sustained Capex push since 2021. Multiplier effect of Capex (estimated 2.5x–3x vs 0.9x for Revenue Expenditure). UPSC may test: "Capital Expenditure has a higher multiplier than Revenue Expenditure" — TRUE, because it creates productive assets.
Fiscal federalism — 15th Finance Commission	15th FC (2021–26) devolved 41% of divisible pool to states. Vertical devolution (Centre to states) and horizontal devolution (between states). Grants for disaster management, health, education. FC grants = Revenue Receipts for states, Revenue Expenditure for Centre.

★ PYQ Insight:

2025 — "Which of the following is NOT a capital receipt of the government?" Options included: disinvestment proceeds, market borrowings, grants from foreign governments, recovery of loans. Answer: grants from foreign governments = Revenue Receipt. This is the exact Revenue vs Capital receipts trap.

2024 — Statement I/II: "Revenue Deficit implies that the government is borrowing to meet its day-to-day expenses. Government borrowing to meet revenue expenditure is fiscally unsustainable." Both true, II explains I. The explanatory link (borrowing for consumption, not creation) is what made it an (a) answer, not just agreement.

2023 — Matching: types of G-Secs with their features. Trap: students matched T-Bills with "coupon-bearing" (wrong — T-Bills are zero coupon). Cash Management Bills (CMBs) appeared as a new option — tested whether students knew CMBs are shorter than 91 days, issued for temporary mismatches.

2022 — Direct question on FRBM: "Which of the following targets are set under FRBM Act, 2003?" Fiscal Deficit ≤ 3% of GDP was a target (since relaxed). Revenue Deficit elimination was a target. Debt-to-GDP ratio target was added later. Students who only knew the 3% figure missed the Revenue Deficit component.

2021 — "Dated securities" vs "T-Bills" matching. Also tested: internal debt vs external debt composition. Dated securities = largest component of internal debt of Government of India. UPSC has tested this share at least three times.

Recurring trap — Primary Deficit vs Fiscal Deficit. Primary Deficit = Fiscal Deficit minus interest payments. It measures the current year's borrowing need excluding the burden of past debt. If Primary Deficit is zero, all borrowing is only to pay interest on old debt. UPSC has asked the definition, the formula, and the interpretation in different years.

3 THINGS UPSC TESTS FROM THIS TOPIC

- **The Revenue vs Capital classification test — applied to every receipt and expenditure.** UPSC does not ask for a list. It gives you one item and asks which bucket it falls into — or gives a Statement I/II pair where one statement gets the classification wrong. The two-step test handles everything: (1) Does it create or reduce an asset? (2) Does it create or extinguish a liability? One yes = Capital. Both no = Revenue. Apply this to: grants (Revenue), disinvestment (Capital), loan repayment principal (Capital), interest payment (Revenue), loan given to a state (Capital), loan recovered from a state (Capital). These exact items have appeared in PYQs.
- **The deficit chain: Revenue Deficit → Fiscal Deficit → Primary Deficit.** Know the formula of each and the relationship between them. Fiscal Deficit = Revenue Deficit + Net Capital Expenditure. Primary Deficit = Fiscal Deficit − Interest Payments. A zero Revenue Deficit with a positive Fiscal Deficit = healthy (borrowing only for investment). A positive Primary Deficit = even current operations require borrowing above interest obligations. UPSC has tested each formula separately and in Statement I/II pairs comparing two of them.
- **T-Bills are zero coupon — and the difference between the three government funds.** T-Bills pay no periodic interest. Their return is the difference between face value and discounted issue price. This is the most-reversed fact on G-Secs. The three funds are also a reliable trap: Consolidated Fund (main account, Parliamentary approval for all withdrawals, Article 266), Contingency Fund (₹500 crore emergency corpus, executive discretion, Article 267), and Public Account (government as banker, no Parliamentary approval needed). UPSC mixes up which needs Parliamentary approval and which is controlled by the President.

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